THE RESERVE BANK'S RECENT CONDUCT OF MONETARY POLICY

Tim Riley

Director, Tim Riley Publications Pty Ltd

The Current Stance of Monetary Policy

The Reserve Bank of Australia (RBA) is Australia's central bank and the Australian government's principal monetary authority. It conducts monetary policy by changing the cash rate and the interest rate corridor in the cash market. It uses an inflation target of 2% to 3% in conducting monetary policy.

Monetary policy has been the main policy instrument used to support Australia's economic recovery following the Global Financial Crisis (GFC) in 2008-09. However, following the Australian bushfire crisis in the Summer of 2019-20 and the Covid-19 pandemic in early 2020, the stance of monetary policy has been eased further because of exceptional circumstances.

The easing of monetary policy in 2020 started with a 0.25% cut in the cash rate on March 4th bringing it down to 0.5% as shown in **Table 1**. This was followed by an emergency meeting by the Board of the Reserve Bank of Australia on March 19th 2020 where it was decided to reduce the cash rate to an historic low of 0.25% on March 20th 2020. This followed three cuts of -0.25% in the cash rate in 2019, two cuts of -0.25% in 2016, and two cuts of -0.25% in 2015. Prior to this there were eight cuts (seven of -0.25% and one of 0.50%) in the cash rate and an easing in the stance of monetary policy between November 2nd 2011 and August 7th 2013. This gave a total of 17 cuts in the cash rate during the current monetary policy easing cycle from November 2nd 2011 to March 20th 2020.

Table 1: Changes in the Cash Rate - November 2nd 2011 to March 20th 2020

Date of Decision	Previous Cash Rate	New Cash Rate	MP Stance	%Δ
November 2nd 2011	4.75%	4.50%	Easing	-0.25%
December 7th 2011	4.50%	4.25%	Easing	-0.25%
May 2nd 2012	4.25%	3.75%	Easing	-0.50%
June 6th 2012	3.75%	3.50%	Easing	-0.25%
October 3rd 2012	3.50%	3.25%	Easing	-0.25%
December 5th 2012	3.25%	3.00%	Easing	-0.25%
May 8th 2013	3.00%	2.75%	Easing	-0.25%
August 7th 2013	2.75%	2.50%	Easing	-0.25%
February 4th 2015	2.50%	2.25%	Easing	-0.25%
May 6th 2015	2.25%	2.00%	Easing	-0.25%
May 4th 2016	2.00%	1.75%	Easing	-0.25%
August 3rd 2016	1.75%	1.50%	Easing	-0.25%
June 5th 2019	1.50%	1.25%	Easing	-0.25%
July 3rd 2019	1.25%	1.00%	Easing	-0.25%
October 2nd 2019	1.00%	0.75%	Easing	-0.25%
March 4th 2020	0.75%	0.50%	Easing	-0.25%
March 20th 2020	0.50%	0.25%	Easing	-0.25%

Source: Reserve Bank of Australia (2020), *Statement on Monetary Policy*, May, and Statistical Table A2.

 © Tim Riley Publications Pty Ltd

Extract 1: Statement by Philip Lowe, Governor: Monetary Policy Decision - 19th March 2020

1. A reduction in the cash rate target to 0.25%. The Board will not increase the cash rate target until progress is being made towards full employment and it is confident that inflation will be sustainably within the 2%-3% target band.

2. A target for the yield on 3-year Australian Government bonds of around 0.25%. This will be achieved through purchases of Government bonds in the secondary market. Purchases of Government bonds and semi-government securities across the yield curve will be conducted to help achieve this target as well as to address market disclocations. The Bank will work closely with the Australian Office of Financial Management (AOFM) and state government borrowing authorities to ensure the efficacy of its actions.

3. A new three year term funding facility for the banking system with particular support for credit to small and medium sized businesses.

   The Reserve Bank will provide a three year funding facility to authorised deposit taking institutions (ADIs) at a fixed rate of 0.25%. ADIs will be able to obtain initial funding of up to 3% of their outstanding credit. They will have access to additional funding if they increase their lending to business especially to small and medium sized businesses. This facility is for at least $90b.

4. Exchange Settlement balances at the Reserve Bank will be remunerated at 0.10%, rather than zero as would have been the case under previous arrangements. This will mitigate the cost to the banking system associated with the large increase in banks' settlement balances at the Reserve Bank that will occur following these policy actions.

The Reserve Bank will also continue to provide liquidity to Australian financial markets by conducting one month and three month repo operations in its daily market operations until further notice. In addition the Bank will conduct longer term repo operations of six month maturity or longer at least weekly, as long as market conditions warrant.

Australia's financial system is resilient and well placed to deal with the effects of the coronavirus. The banking system is well capitalised and is in a strong liquidity position. Substantial financial buffers are available to be drawn down if required to support the economy.

Today's policy package from the Reserve Bank complements the welcome fiscal response from governments in Australia. Together, these measures will support jobs, incomes and business through this difficult period and they will also assist the Australian economy in the recovery.

Source: www.rba.gov.au

The Current Monetary Policy Setting and the Covid-19 Pandemic

The Reserve Bank Board acted quickly and decisively to support the Australian economy in the face of the disruption the Covid-19 pandemic caused to financial markets and the real economy. The coronavirus is first and foremost a public health issue, but it is also having a very major impact on the economy and the financial system.

As the virus has spread, countries have restricted the movement of people across borders and have implemented social distancing measures, including restricting movements within countries and within cities. The result has been major disruptions to economic activity across the world. This is likely to remain the case for some time yet as efforts continue to contain the spread, infections and deaths caused by the coronavirus. After an emergency meeting on March 19th 2020 the Reserve Bank Board

 © Tim Riley Publications Pty Ltd

announced a package of measures to support the economy through this challenging period. These are detailed in **Extract 1** which is the RBA's media release on March 19th 2020.

The various elements of the package reinforce each other and will help to lower funding costs across the economy and support the provision of credit, especially to small and medium sized businesses.

The Reserve Bank will also continue to provide liquidity to Australian financial markets by conducting one month and three month repo operations (repos are frequently used by holders of government debt securities as a source of funds) in its daily market operations until further notice. In addition, the Bank will conduct longer term repo operations of six month maturity or longer at least weekly, as long as market conditions warrant. The definition and explanation of how the RBA uses repurchase agreements (repos) to conduct open market operations are outlined in **Extract 2**.

The Reserve Bank of Australia's 2020 Package

The package has four main components:

(1) The Reserve Bank Board agreed to a reduction in the cash rate target to 0.25%.

(2) Announcement that it will be setting a target for the yield on three year government bonds of around 0.25%. By targeting the three year yield the Reserve Bank is enabling Australia's larger businesses (including banks) to set a three year time horizon for their borrowing.

(3) A new $90b plus, three year funding facility at a fixed rate of 0.25%.

(4) The Reserve Bank Board also agreed to increase the interest rate paid on balances held by Authorised Deposit Taking Institutions or ADIs (e.g. banks) in Exchange Settlement Accounts (ESAs) with the Reserve Bank.

These measures are intended to help the banks with the extra cost that is likely to follow the increased liquidity in the banking system due to increased bond purchases and the use of the RBA's funding facility. The RBA is hoping that the availability of a plentiful supply of cheap funding will encourage banks to be more understanding of business customers whose cash flows have been strained due to the Covid-19 crisis which has affected business liquidity, cash flow and in some cases solvency.

Extract 2: Repurchase Agreements (Repos)

A repo is a transaction that occurs in two parts. In the first part the RBA might lend a bond to a bank and receive Exchange Settlement balances (cash) in exchange, resulting in a decrease (drain) in supply of ES balances on that day. In the pre-arranged second part, at an agreed price and date in the future, the RBA receives the bond back and returns the ES balances (cash) to the bank, resulting in an increase (injection) in supply of ES balances on that day.

In the opposite case - commonly referred to as a 'reverse repo' - the RBA commences the transaction by borrowing a bond and providing ES balance (cash) to the bank, resulting in an increase (injection) in supply of ES balances. The second leg of this transaction involves the RBA returning the bond to the bank and receiving ES balances (cash) back, resulting in a decrease (drain) in the supply of ES balances on that day.

Reverse repos are the most commonly used transaction by the RBA in its open market operations (OMOs) not outright purchases/sales of government bonds as is commonly described by textbooks. This is because the RBA mostly injects cash into the market to cover ES balance shortfalls and their flexibility to manage the supply of cash in the market (liquidity) and smooth the effects of large transactions between banks and the RBA or the government - such as tax and social welfare payments - that can have a material effect on the total amount of cash in the market (or 'system liquidity').

Source: Kellie Bellrose (2018), "Bridging the Textbook Gaps on How the RBA Implements Monetary Policy", December.

 © Tim Riley Publications Pty Ltd

Extract 3: Statement by Philip Lowe, Governor: Monetary Policy Decision - 5th May 2020

At its meeting today the Board decided to maintain the current policy settings, including the targets for the cash rate and the yield on 3 year Australian Government bonds of 25 basis points.

The global economy is experiencing a severe downturn as countries seek to contain the coronavirus. Many people have lost their jobs and a sharp rise in unemployment is occurring. At the same time, the containment measures have reduced infection rates in a number of countries. If this continues, a recovery in the global economy will start later this year, supported by both the large fiscal packages and the significant easing in monetary policies.

There has been a substantial, co-ordinated and unprecedented fiscal and monetary response in Australia to the coronavirus. Without this response, the outlook would have been even more challenging. These policies are supporting the economy right now and will help when the recovery comes. They are supporting people's incomes, maintaining important connections between businesses and their employees, underpinning the supply of credit to businesses and households, and keeping borrowing costs low. The deferral of loan and other payments is helping people manage their cash flows. The Australian banking system, with its strong buffers of capital and liquidity, is also helping the economy traverse this difficult period.

The Board is committed to do what it can to support jobs, incomes and businesses during this difficult period and to make sure that Australia is well placed for the expected recovery. The Board will not increase the cash rate target until progress is being made towards full employment and it is confident that inflation will be sustainably within the 2-3 per cent target band.

Source: www.rba.gov.au

Monetary Policy Decision - 5th May 2020

At its monthly meeting the Reserve Bank Board on 5th May 2020 announced that it would retain the policy settings implemented on March 20th 2020, including a cash rate target of 0.25% and the yield on Australian Government securities at 0.25% (refer to **Extract 3**). In addition it announced that around $50b in bonds had been purchased to ensure sufficient liquidity in financial markets and low interest rates in the bond market.

The RBA's assessment on May 5th 2020 of the current and future state of the Australian economy included a baseline scenario:

- GDP or national output would fall by around 10% over the first half of 2020 and by around 6% over the year as a whole. This would be followed by a recovery in GDP of 6% in 2021.
- The unemployment rate would peak at around 10% in coming months and could be above 7% by 2021.
- The inflation rate is likely to remain below 2% given large falls in oil prices, the introduction of free child care and deferrals of other price increases.

Conventional Monetary Policy

Conventional monetary policy involves the RBA changing the policy interest rate/cash rate to achieve its economic objectives of economic growth, full employment and price stability. In the current environment of the Covid-19 pandemic the RBA cut the cash rate from 0.75% to 0.5% on March 4th and from 0.5% to 0.25% on March 20th 2020. This is expected to lead to lower market interest rates for housing and business loans, credit cards and savings accounts.

An easing in the stance of monetary policy such as this is designed to stimulate the growth in aggregate demand and employment at a time when Australia is expected to enter a recession after 29 years of positive economic growth. This will likely result in negative economic growth and a rising unemployment rate.

 © Tim Riley Publications Pty Ltd

Unconventional Monetary Policy

Unconventional monetary policy is when tools other than changes in the policy interest rate or cash rate are used to achieve economic objectives. These tools include the following:

- Negative interest rates, which the RBA has ruled out by saying that the cash rate at 0.25% is at its lowest bound and will be at this level for the foreseeable future.
- Extended liquidity operations which the RBA has undertaken by providing funding to banks at below the cost (at a fixed rate of 0.25%) prevailing in financial markets.
- Asset purchases or a programme of quantitative easing by the RBA through purchases of Government bonds and semi-government securities across the yield curve in the secondary market. This will help to lower interest rates across the yield curve in line with the cash rate target of 0.25%.
- Forward guidance is where the RBA makes a commitment to not increase interest rates for a period of time until economic conditions improve. This reinforces the RBA's commitment to low interest rates and helps to reduce uncertainty for consumers and businesses.

The main government response to the Covid-19 pandemic has been to manage the health of the Australian population through testing, quarantine, isolation and intensive care for those with severe respiratory distress.

The monetary and fiscal policies of the Australian government are also working together to support jobs, incomes and businesses. The RBA welcomed the fiscal response from state and federal governments in Australia which together with the monetary policy package will assist the Australian economy to recover after government social distancing and other restrictions on individuals and businesses are slowly relaxed and eventually removed.

Although Australia has done well to 'flatten the curve', other countries such as the USA, Italy, Spain, France and the UK have not been able to contain infection rates and deaths as effectively. The disruption to international travel and tourism and global supply chains has been enormous. This has major implications for global trade and financial flows, and in turn will have an adverse impact on Australia's balance of payments outcome and exchange rate. The Australian dollar's depreciation will help to improve competitiveness during recovery.

THE RESERVE BANK'S RECENT CONDUCT OF MONETARY POLICY: REVIEW QUESTIONS

1. Define monetary policy and outline how it is conducted by the Reserve Bank.
2. Why did the Reserve Bank cut the cash rate on March 4th and 20th 2020?
3. Refer to Extract 1 and explain the four elements of the RBA's policy package announced on March 19th 2020 to support the economy during the coronavirus.
4. Why and how does the RBA use 'repos' in its open market operations?
5. What was the Reserve Bank's assessment of the future for the Australian economy during Covid-19 in the May 5th 2020 Statement on its Monetary Policy Decision?
6. Distinguish between the RBA's use of conventional and unconventional monetary policy.

DEFINE THE FOLLOWING TERMS AND ABBREVIATIONS

aggregate demand	full employment	liquidity	ADIs
cash rate	inflation target	monetary policy	ESAs
consumer spending	interest rate corridor	price stability	GFC
economic growth	interest rates	quantitative easing	OMO
employment	investment spending	unemployment rate	RBA

 © Tim Riley Publications Pty Ltd